PRACTICE EXAM 3 OF 4 · FOUNDATIONS - ALL DOMAINS

Practice exam 3

Twenty new questions in exam proportions, with a walkthrough after each and a scoring guide at the end.

QUESTIONS 20 PEOPLE 7 PROCESS 8 BUS ENV 5

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> After two departments merged, a hybrid project team includes people from both. Six weeks in, the two groups sit apart, hold separate meetings, and rarely share information.
>
> Handoffs between them are causing rework.

What should the project manager do?

A Split the project into two separate teams, one per former department.

B Bring both groups together around a shared goal and team charter, and create cross-group working such as mixed pairs.

C Ask both former department heads to tell their staff to cooperate.

D Wait for the groups to integrate naturally over time.

◆ PAUSE AND DECIDE

What should the project manager do?

A Split the team.
Formalises the divide, and multiplies handoffs.

B Shared goal, charter, mixed pairs.
Builds one team through shared purpose and real collaboration.

C Department heads instruct.
Instructions rarely create trust between groups.

D Wait.
Six weeks of rework already; it will not fix itself.

THE SIGNAL

People domain. Two groups become one team through a shared goal, a charter, and working together.

> Midway through a sprint, the government bans the payment method the sprint goal was built around, with immediate effect. The product owner says the sprint goal is now obsolete.
>
> In practice exam 1, a mid-sprint request went to the backlog. This time, the goal itself has lost its value.

What should happen?

A The team finishes the sprint as planned, then reconsiders.

B The team adds replacement work alongside the current sprint backlog.

C The product owner cancels the sprint, and the team holds a new sprint planning.

D The scrum master escalates the ban to the sponsor for a decision.

◆ PAUSE AND DECIDE

What should happen?

A Finish anyway.

Completes work for a goal that is now worthless.

B Add work alongside.

Overloads a sprint whose goal no longer makes sense.

C PO cancels; new planning.

The Scrum Guide lets the product owner cancel a sprint whose goal is obsolete.

D Escalate.

The product owner has the authority, and the facts are clear.

THE SIGNAL

Paired with exam 1, question 4. A request goes to the backlog; an obsolete goal means the PO cancels the sprint.

> On a predictive building project, the contingency reserve has been fully used on identified risks. A flash flood, which nobody had identified, then damages stored materials worth $60,000.
>
> The project manager has no reserve left in the cost baseline.

What should the project manager do?

A Request use of the management reserve through the change control process.

B Take the money from another project's budget.

C Reduce quality elsewhere to absorb the cost.

D Record the cost as a variance and take no other action.

◆ PAUSE AND DECIDE

What should the project manager do?

A Management reserve via change control.
Unforeseen event, outside the baseline: exactly what it is for.

B Borrow from another project.
Not the PM's money to move.

C Cut quality.
Hides a cost by damaging the product.

D Just record it.
Leaves the project unfunded for the recovery.

THE SIGNAL

Process domain. Unidentified risk plus no contingency: management reserve, through change control.

> Two days before the financial year end, the sponsor asks the project manager to certify a predictive project's major deliverable as complete, so the payment can be recorded this year.
>
> The deliverable still has two weeks of work remaining and has not passed acceptance.

What should the project manager do?

A Certify it, since it will be complete in two weeks.

B Certify it, but note the remaining work in a private file.

C Ask a team member to sign the certificate instead.

D Decline to certify it, explain the actual status honestly, and discuss legitimate options with the sponsor.

◆ PAUSE AND DECIDE

What should the project manager do?

A Certify: nearly done.
A false certification, whatever happens in two weeks.

B Certify with a private note.
Still false; the note only proves you knew.

C Someone else signs.
Passes the dishonesty to a colleague.

D **Decline; be honest; discuss options.**
Honesty, delivered with care and a search for legitimate routes.

THE SIGNAL

Business Environment domain. A false certification is dishonest, whoever asks. Decline, and help find a legitimate route.

> At a sprint review, several stakeholders criticised an agile team's increment harshly and personally. The team's morale has dropped sharply.
>
> Some of the feedback contained useful points.

What should the scrum master do?

A Stop inviting those stakeholders to sprint reviews.

B Acknowledge the team's feelings, draw out the useful feedback with them, and agree constructive feedback norms with stakeholders.

C Tell the team to ignore the criticism.

D Complain to the stakeholders' managers.

◆ PAUSE AND DECIDE

What should the scrum master do?

A Exclude the stakeholders.
Loses the feedback the review exists for.

B Acknowledge; extract value; set norms.
Supports the team, keeps the feedback, and fixes how it is given.

C Ignore it.
Throws away the useful points with the harsh ones.

D Complain to managers.
Escalates before trying to improve the review itself.

THE SIGNAL

People domain. Protect the team's morale and the feedback loop. Set norms for how feedback is given.

> On a hybrid project, finance wants a new report to show transactions by cost centre, while operations wants the same report organised by site. Both insist their layout is essential.
>
> Only one layout fits the planned release.

What should the project manager do?

A Choose the finance layout, since finance funds the project.

B Build both layouts, adding the extra work to the release.

C Bring both groups together to trace each need to the business objectives, and let the product owner decide the order.

D Ask the sponsor to choose between the two departments.

◆ PAUSE AND DECIDE

What should the project manager do?

A Finance wins.
Decides by budget power, not value.

B Build both now.
Scope creep; the release cannot absorb it.

C Joint session; trace to objectives; PO orders.
Resolves conflicting requirements by value, with the right decision-maker.

D Sponsor picks.
Escalates before the groups have worked it through.

THE SIGNAL

Process domain. Conflicting requirements: trace both to objectives, together, and let the owner decide.

> On a predictive project in a matrix organisation, a functional manager tells the project manager she is moving a key engineer to another project next week. The engineer is halfway through a critical path activity.
>
> The project manager has no authority over the engineer's assignment.

What should the project manager do first?

A Meet the functional manager to explain the impact, and negotiate timing or alternatives.

B Escalate immediately to the sponsor to block the move.

C Accept the move and re-plan the schedule.

D Ask the engineer to refuse the new assignment.

◆ PAUSE AND DECIDE

What should the project manager do first?

A Explain impact; negotiate.

In a matrix, the functional manager owns assignment. Negotiate with her first.

B Escalate at once.

Skips the conversation with the person who decides.

C Accept and re-plan.

Gives up without testing timing or alternatives.

D Engineer refuses.

Puts the engineer in an impossible position.

THE SIGNAL

People domain. In a matrix, negotiate resources with the functional manager before escalating.

> An agile team's board shows 18 items in progress for a team of six, and only two items finished this week. Developers say they switch between tasks all day.
>
> Stakeholders complain nothing seems to get finished.

What should the project leader do?

A Add more developers to the team.

B Ask developers to work longer hours to finish more items.

C Ask the product owner to stop adding items.

D Work with the team to introduce work-in-progress limits and finish items before starting new ones.

◆ PAUSE AND DECIDE

What should the project leader do?

A More developers.
More people starting more work adds to the problem.

B Longer hours.
Tired people switching more does not finish more.

C Stop new items.
The backlog is not the problem; too much started work is.

D WIP limits; finish before starting.
Cuts task switching; flow and throughput improve.

THE SIGNAL

Process domain. Too much in progress, too little done: limit WIP. Stop starting, start finishing.

A cloud provider announces a 30 percent price increase from next quarter. A hybrid project's business case assumed the old price for five years of running costs.

The increase would cut the project's forecast net present value substantially.

What should the project manager do?

A Ignore it, since running costs occur after the project closes.

B Switch to a different cloud provider immediately.

C Assess the impact on the business case and benefits, and present options to the sponsor.

D Reduce the project's scope to compensate.

◆ PAUSE AND DECIDE

What should the project manager do?

A Ignore it.
The business case includes running costs; its value has changed.

B Switch now.
A major decision before analysis.

C Assess the business case; options to sponsor.
An external change to value goes to the case's owner, with evidence.

D Cut scope.
Changes the product without analysis or authority.

THE SIGNAL

Business Environment domain. A market change that alters value: reassess the business case with its owner.

> During a stakeholder meeting on a hybrid project, the product owner and the project manager openly disagreed about whether the release date could hold. Stakeholders left confused about the real position.
>
> The two respect each other.

What should the project manager do?

A Send stakeholders an email setting out the project manager's own view.

B Meet the product owner privately to understand each other's reasoning, agree one position, and then update stakeholders together.

C Ask the sponsor to decide who is right.

D Let the product owner's view stand, to avoid further conflict.

◆ PAUSE AND DECIDE

What should the project manager do?

A Email own view.
Deepens the public split.

B Private talk; one position; joint update.
Collaborates to resolve, then restores a single clear message.

C Sponsor decides.
Escalates before two respectful colleagues have talked.

D Give way.
Smoothing: the real disagreement about the date stays unresolved.

THE SIGNAL

People domain. Disagree in private, align, then speak with one voice.

A customer on a predictive project insists on 'zero defects' in delivered software. Achieving that would require testing that roughly doubles the remaining budget.

The contract's acceptance criteria are vague on quality levels.

What should the project manager do?

A Promise zero defects and add the testing.

B Ignore the demand, since the contract is vague.

C Reduce testing to protect the budget.

D Discuss quality levels and their cost with the customer, and agree measurable acceptance criteria.

◆ PAUSE AND DECIDE

What should the project manager do?

A Promise zero defects.
An unrealistic promise at double the cost, without agreement.

B Ignore it.
Leaves a dispute waiting at acceptance.

C Cut testing.
Moves the opposite way from the customer's need.

D Agree measurable quality and its cost.
Turns a vague demand into agreed acceptance criteria.

THE SIGNAL

Process domain. Vague quality demands become measurable acceptance criteria, agreed with their cost.

> One of the only two suppliers of a critical sensor for a predictive project has just been bought by the other. The project now effectively has a single source.
>
> Current orders are unaffected for now.

What should the project manager do?

A Record the new single-source risk, assess its impact, and work with procurement on alternatives or protective terms.

B Take no action, since current orders are unaffected.

C Cancel all orders with the merged supplier.

D Redesign the product to remove the sensor.

◆ PAUSE AND DECIDE

What should the project manager do?

A Record, assess, work on alternatives.
A market change creates a risk; manage it early.

B No action.
Single-source exposure is a real, growing risk.

C Cancel orders.
Drastic, and leaves no supply at all.

D Redesign.
A major change before the risk is even analysed.

THE SIGNAL

Business Environment domain. A market shift that creates a single source: register it, analyse it, act early.

> A regulator announces an inspection of a predictive project's construction site next week, focused on safety and environmental permits.
>
> The site manager suggests tidying away a few incomplete safety records before the visit.

What should the project manager do?

A Agree to tidy away the incomplete records.

B Ask the regulator to postpone the inspection.

C Limit what the inspectors are shown.

D Prepare honestly with the compliance officer: complete what can properly be completed, and present records as they are.

◆ PAUSE AND DECIDE

What should the project manager do?

A Hide incomplete records.
Concealment from a regulator is far worse than the gap.

B Postpone.
Delays rather than prepares; may look evasive.

C Limit access.
Obstructs the inspection.

D Prepare honestly with compliance.
Fixes what can be fixed properly, and stays transparent.

THE SIGNAL

Business Environment domain. With regulators, prepare properly and stay transparent. Never conceal.

> A new developer joins an agile team mid-project. The sponsor wants her productive as soon as possible.
>
> The team has a charter, a definition of done, and a complex codebase.

What should the scrum master do?

A. Give her the product documentation to read for her first two weeks.

B. Assign her a large story on her own, so she learns quickly.

C. Prepare her access in advance, share the charter and definition of done, and pair her with an experienced developer on real work.

D. Have her observe the team for a sprint before contributing.

◆ PAUSE AND DECIDE

What should the scrum master do?

A Two weeks of reading.
Slow; tacit knowledge is not in the documents.

B A big solo story.
Sink or swim, in a complex codebase.

C Access ready; charter; pairing.
Fast, supported start, with the team's norms from day one.

D Observe for a sprint.
Delays contribution with little real learning.

THE SIGNAL

People domain. Onboard with access ready, the team's norms, and pairing on real work.

> At a sprint review, stakeholders say the increment meets its acceptance criteria, but would not actually solve their problem in daily use. They explain why.
>
> The team is frustrated, because it built exactly what was specified.

What is the best response?

A The product owner uses the feedback to update the backlog and acceptance criteria. This is the review working as intended.

B Insist the stakeholders accept the increment, since it met the criteria.

C Raise a formal change request before changing anything.

D Treat it as a team failure and review how the work was done.

◆ PAUSE AND DECIDE

What is the best response?

A Update the backlog; the review worked.

Finding this early, cheaply, is the purpose of the review.

B Insist on acceptance.

Wins the argument, loses the value.

C Formal change request.

Backlog changes need no change request inside the boundary.

D Team failure.

The team did what was asked; the learning is about the need.

THE SIGNAL

Process domain. Feedback that the product misses the need is the review succeeding. Adapt the backlog.

> An agile team has started using an AI coding assistant for production code. The legal team says the tool's licence terms on ownership of generated code have not been reviewed.
>
> The organisation's policy requires legal review of new software licences.

What should the project leader do?

A Continue, since the tool saves time and the risk seems small.

B Pause its use for production code, and arrange the required legal review of the licence.

C Ban all AI tools permanently.

D Let each developer decide whether to use it.

◆ PAUSE AND DECIDE

What should the project leader do?

A Carry on.

Breaches policy, with unclear ownership of the product's code.

B Pause for production; get the review.

Follows policy and protects intellectual property, without banning the tool.

C Ban AI permanently.

Overreacts to an unreviewed licence.

D Each decides.

Leaves a policy requirement to individual choice.

THE SIGNAL

Business Environment domain. New AI tools still follow licence and IP policy. Pause, review, then decide.

> A project manager takes over a predictive project. The previous project manager reported green status for three months, but the new project manager finds the schedule is actually six weeks behind.
>
> The next steering meeting is in two days.

What should the new project manager do?

A. Keep reporting green while trying to recover the six weeks.

B. Report amber for now, and reveal the full delay later.

C. Blame the previous project manager in the steering meeting.

D. Report the true status promptly to the sponsor, with the evidence and a recovery plan.

◆ PAUSE AND DECIDE

What should the new project manager do?

A Keep reporting green.
Continues a false report, now knowingly.

B Amber, full truth later.
Still misleading; drip-feeding bad news erodes trust.

C Blame the predecessor.
Blame does not help anyone decide what to do now.

D True status, evidence, recovery plan.
Honest, prompt, and constructive: rebuilds trust.

THE SIGNAL

People domain. Trust starts with honest status. Bring the truth early, with evidence and a plan.

> A predictive project is evaluating bids for a data platform. The lowest-priced bid fails a mandatory security criterion stated in the request for proposal. The next bid meets every criterion but costs 8 percent more.
>
> The sponsor asks whether the cheaper bid can be accepted anyway.

What should the project manager advise?

A Accept the cheaper bid and ask the seller to fix security later.

B Re-tender the whole contract.

C Exclude the non-compliant bid, as the stated criteria require, and select the best compliant bid.

D Drop the security criterion for all bidders.

◆ PAUSE AND DECIDE

What should the project manager advise?

A Accept and fix later.
Breaks the stated criteria, and unfair to compliant bidders.

B Re-tender.
Unnecessary; a compliant bid exists.

C Exclude it; choose best compliant bid.
Applies the published criteria fairly and consistently.

D Drop the criterion.
Changes the rules after bids are in; unfair and risky.

THE SIGNAL

Process domain. Mandatory criteria are applied as published. Fairness to every bidder, and the security need.

> During sprint planning, the team realises one story, 'customers can manage their whole account online', is too large to finish in a sprint.
>
> The product owner wants some value from it this sprint.

What should the team do?

A Split it into design, build and test tasks across three sprints.

B Split it into smaller stories, each delivering a usable slice of value, such as 'customers can update their address'.

C Extend the sprint to fit the whole story.

D Start the whole story and carry the remainder into the next sprint.

◆ PAUSE AND DECIDE

What should the team do?

A Split by phase.
Horizontal slices deliver no usable value until the end.

B Split into vertical, valuable slices.
Each small story is usable and testable on its own.

C Extend the sprint.
Breaks the timebox.

D Start it all; carry over.
Nothing finished, nothing of value this sprint.

THE SIGNAL

Process domain. Split stories vertically, so each slice delivers usable value.

> An agile team has debated for two weeks which test automation tool to adopt. Two options remain, both acceptable, and the debate has become circular.
>
> Work that depends on the choice is waiting.

What should the scrum master do?

A Help the team timebox the decision, agree criteria and a decision method, with a fallback if no consensus is reached.

B Choose a tool for the team to end the debate.

C Let the debate continue until everyone agrees.

D Ask the product owner to choose the tool.

◆ PAUSE AND DECIDE

What should the scrum master do?

A Timebox, criteria, method, fallback.

Facilitates a decision the team owns, without endless debate.

B Scrum master chooses.

Takes a technical decision away from the developers.

C Wait for unanimity.

Two weeks lost already; blocked work keeps waiting.

D Product owner chooses.

Tooling is how, not what: the developers' call.

THE SIGNAL

People domain. Circular debate between acceptable options: timebox, agree a method, keep a fallback.

Scoring guide

DOMAIN	QUESTIONS	YOUR SCORE
People	1, 5, 7, 10, 14, 17, 20	out of 7
Process	2, 3, 6, 8, 11, 15, 18, 19	out of 8
Business Environment	4, 9, 12, 13, 16	out of 5
Total	20 questions	out of 20

ON THE EXAM

Add this to your exam 1 and 2 results. Three data points show a trend; exam 4 reads it.

What to do with your result

- **Around 16 or more**: strong. Take exam 4 under full exam conditions.
- **Around 13 to 15**: revisit the modules named in your missed walkthroughs.
- **Below 13**: focus on your weakest domain across all three exams.
- Check question 2: did you spot that an obsolete goal changes exam 1's answer?
- These bands are a study guide, not PMI's standard.

> ON THE EXAM
>
> Write down your three domain scores for each exam. Exam 4 will ask you to compare them.

Three exams, three data points. **Record your domain scores**, then take exam 4.